

1. Hopes and dreams

Maybe if we can get that one lucky investment—the next Microsoft, Apple, or Google—we can solve our funding problems today. VC investing, in particular, has an allure of changing the world and making money at the same time. It is true that portfolio company returns are highly skewed, with one or two winners subsidizing ten or more losers. But the high-flying returns of the rare success do not offset the overall damage to the average investor's portfolio. Thaler and Sunstein (2009) say that “if consumers have a less than fully rational belief, firms have more incentive to cater to that belief than to eradicate it.” What is true for consumers is just as true for institutional investors.

2. Information is poor

Contracts are opaque and contain hard-to-understand fees. Loftis is absolutely correct that PE contracts are “incomprehensible to the average taxpayer.” Phalippou (2009) says that all PE information—including true returns and total fee payments—is “shrouded.”

3. Selective reporting

“Every private equity firm you talk to is first quartile,” says a large pension investment manager.⁴⁹ But they're not lying. By selective reporting of IRRs, multiples, and even the vintage year, all PE firms can indeed be first quartile. Investors are fooled by dubious quality performance measures.

4. Duped by industry propaganda

Maybe asset owners are led astray by industry claims of good PE performance. They don't know about survivorship bias, infrequent trading bias, selection bias, and all the other issues involved in measuring PE returns. Or their consultants haven't read (or understood) academic studies tackling these issues.

5. Investor myopia

Even if investors have the ability to dig up all this information, they just ignore it.⁵⁰

6. Inability to learn

Or perhaps not wanting to learn? Either way, most asset owners don't have Swensen's “superior fund-selection skills.” Some investors even delude themselves in thinking that current contracts are optimal. Of the prevailing 2/20 contract, CalPERS says, “When this compensation structure is used, the financial interests of the General Partner are aligned with those of the Limited Partners, including CalPERS.”⁵¹

7. Nonpecuniary incentives

There are reasons to invest in PE on a basis other than optimizing returns. For example, banks make lots of money by selling other services to PE firms

⁴⁹ Quoted in the Economist, “Bain or Blessing,” Jan. 28, 2012.

⁵⁰ Preferences describing this behavior are called “myopic preferences.” See Gabaix and Laibson (2006).

⁵¹ <http://www.calpers.ca.gov/index.jsp?bc=/investments/assets/equities/pe/programoverview.xml>